

Diligence Report — Fresno Unified School District GO, 2043

CUSIP: 3582324T0 **Security:** Fresno Unified School District (Fresno County, CA) General Obligation Bonds, Election of 2016, Series A **Coupon / Maturity:** 4.000% / 2043-08-01 (term bond) **Dated:** 2018-05-31 · **Tax status:** Tax-exempt **Cutoff date:** 2026-06-20 **Verdict:** BUY (HOLD-grade conviction; affirmed in book)

Three-sentence summary

Every load-bearing claim in the screen verified against primary sources: this is an **unlimited ad-valorem general obligation** of one of California's three largest school districts, secured by a **statutory lien (SB-222 / Govt. Code §53515)** on the property-tax levy, sitting on a large, diffuse, overwhelmingly urban/residential tax base (top-20 taxpayers only 5.3% of assessed value, direct debt ~2.3% of AV), with a **current AB-1200 positive certification** the District has held continuously since 2006. The screen's flagged risks are real but low-transmission: the SGMA agricultural-AV erosion channel barely touches this district because **agricultural land is 0.02% of its tax base** (the levy rides on the City of Fresno, 83.5% of AV), and the flood-tail / earthquake flags are tail exposures on the levy base, not repayment risks under an unlimited tax pledge. The one item to correct is **price**: the bond last traded at **99.53 (2026-06-10)**, not 98.45, so it is a modest discount whose call-at-par (8/1/2026, not yet exercised on this maturity) is a holder benefit rather than a risk — yield-to-worst equals yield-to-maturity at ~4.05-4.16% gross (~8.1% tax-equivalent at the CA top bracket).

a. Security, issuer & pledge — VERIFIED

Claim	How verified	Authority	Finding
Issuer = Fresno USD (Fresno County, CA)	EMMA security-details page + OS title page	EMMA /Security/Details/3582324T0 ; Official Statement (issue ES386805)	VERIFIED
Unlimited ad-valorem GO	OS "Security" + "Ad Valorem Taxes" sections	Official Statement pp. 1, 17	VERIFIED
SB-222 / §53515 statutory lien	OS "Statutory Lien on Ad Valorem Tax Revenues"	Official Statement p. 17	VERIFIED
Tax-exempt	EMMA detail field "Tax Exempt"; OS "Tax Matters"	EMMA; OS	VERIFIED
4.0% coupon / 2043-08-01 maturity	EMMA detail + maturity scale (\$12.82M term bond)	EMMA scale (ES386805)	VERIFIED

Pledge language (verbatim, OS p. 17): *"The County is empowered and is obligated to annually levy ad valorem taxes for the payment of the Series A Bonds ... upon all property within the District subject to taxation ... without limitation of rate or amount."* The County of Fresno (not the District's general fund)

levies and collects; collections are *"irrevocably pledged"* to a County-held debt-service fund. All District GO bonds rank on a **parity** basis.

Statutory lien (OS p. 17): Per **Senate Bill 222 (effective 1/1/2016, codified at California Government Code §53515)**, voter-approved GO bonds are secured by a statutory lien on all ad-valorem tax revenue levied to service them; the lien *"attaches automatically ... valid and binding from the time the bonds are executed and delivered ... enforceable against the District, its successors, transferees, and creditors ... irrespective of whether those parties have notice."* This is the strongest security form in the CA muni market and is correctly described by the screen.

This is **not** a District general-fund obligation, lease/COP, or limited-tax bond — the tax flags below therefore matter only for the levy-base growth path, never for the repayment mechanism.

OS PDF saved to `raw/official_statement.pdf` (source: <https://emma.msrb.org/ER1131594-ER885557-ER1286219.pdf>).

b. Tax base, taxpayer concentration & debt-to-AV — VERIFIED (data as of 2017-18 OS)

Metric	Value	Source
Total assessed valuation (2017-18)	\$20.45 billion	OS p. 21 (Cal Muni Statistics)
Tax base by city	City of Fresno 83.5% , Unincorp. Fresno County 14.3%, Clovis 2.1%	OS p. 22
Land-use mix (secured)	Residential 70.6% , Commercial 21.3%, Industrial 5.8%, Agricultural 0.02%	OS p. 23
Top-20 taxpayers	5.27% of AV ; largest = Macerich (shopping center) 0.77%	OS p. 28
Direct debt / AV	2.28% (\$466.7M)	OS p. 29
Combined direct + overlapping / AV	3.79%	OS p. 29

Read: an exceptionally diffuse, urban tax base. No single taxpayer is material; the top-20 aggregate at 5.3% is well inside the comfortable band for a large-district GO. Direct debt at 2.3% of AV is moderate. This is a textbook investment-grade large-district GO base.

Staleness flag (honest): the structured AV/taxpayer/overlapping-debt tables come from the **2018 OS (FY 2017-18)** — the most recent senior new-money OS that exposes a machine-readable link on EMMA. California AVs have grown roughly 4-6%/yr since (Prop-13 inflation factor + reassessment-on-sale); current AV is materially higher (a reasonable estimate is high-\$20Bs to ~\$30B for 2025-26, but the **precise current AV figure is UNVERIFIABLE** from the documents retrieved — neither the 2025-26 Second Interim nor the Measure M performance audit carries a district-wide AV table). Direction of error is favorable: with AV up and debt only partially up, the debt-to-AV ratio has **improved or held**, not deteriorated. Voters approved **Measure H (\$500M, Nov 2024)**, so direct GO debt is rising over time — all parity-secured under the same §53515 lien; this raises the levy tax rate but not repayment risk.

c. AB-1200 financial certification & enrollment — VERIFIED (current)

Claim	How verified	Authority	Finding
AB-1200 <i>positive</i> (current)	District 2025-26 Second Interim board report	FUSD 2025-26 Second Interim Financial Report (finalsite-hosted board packet)	VERIFIED
Reserve cushion	Reserve \$93.2M = 5.56% of GF; min required 2%	Same	VERIFIED
Continuity	" <i>Positive certification maintained since 2006</i> "	Same	VERIFIED

The District's 2025-26 Second Interim carries a **positive certification** — it will meet its reserve requirement and hold a positive cash balance in the current and two subsequent years. Reserve is \$93.2M (5.56%), projected to decline to 2.77% by 2027-28 (still above the 2% floor). The screen's "AB-1200 POSITIVE" is **current and accurate**.

Enrollment — honestly disclosed structural headwind (operating, not GO): the 2018 OS showed enrollment flat-to-declining (~73,900). The 2025-26 Second Interim explicitly projects **declining enrollment (–1,199 students in 2026-27, –1,054 in 2027-28)** as the driver of LCFF revenue pressure. This is a real operating-budget concern for the **general fund** — but the bond is **not** a general-fund obligation. Declining enrollment does **not** impair an unlimited ad-valorem GO, whose tax levy is set by debt service ÷ AV and is independent of headcount. Encoded honestly by the District; flagged here for completeness, not as a repayment risk.

d. Call schedule — RESOLVED (with a material market-color finding)

Provision	Detail	Source
Optional call	Maturities on/after 8/1/2038 callable 8/1/2026 or any date after, @ 100 (no premium)	OS p. 8
Mandatory sinking fund	2041 & 2043 are term bonds with sinking-fund schedules	OS p. 8
Next call (this CUSIP)	2026-08-01 @ 100.0	EMMA detail; OS

Finding (from continuing-disclosure notices): The District has filed **Notices of Full Optional Redemption dated for the 8/1/2026 call date** that call the **5% current-interest maturities (2038/2039/2041) and the capital-appreciation bonds (2032-2037)** of this same Election-2016 Series A — but **NOT CUSIP 3582324T0 (the 4% 2043 term bond)**. (Saved: `raw/cd_*` redemption notices.) This is economically rational: the District is refunding its high-coupon 5% and accreting-CAB maturities at the first call but leaving the **4% 2043 outstanding**, because a 4% bond trading near par is not worth refunding at current rates.

Valuation implication: at a discount price ($99.53 < 100$), the 8/1/2026 par call is a **benefit** to the holder (par > market), not a call-risk haircut. The worst case for a discount bond is being held to maturity. Therefore **yield-to-worst = yield-to-maturity** here. Do not haircut yield for call risk on this name.

e. Trade tape & liquidity — VERIFIED (price correction)

Source: EMMA RTRS tape for 3582324T0 (441 reported prints; `raw/trade_tape.json`).

Date	Price	Yield (EMMA YTW)	Par	Type
2026-06-10	99.53	4.038%	\$100k	sale-to-customer / inter-dealer
2026-06-04	98.45 / 98.35	4.13%	\$100k	inter-dealer / purchase-from-cust
2026-03-27	93.63-93.78	~4.52%	\$20k	round-trip
2026-02-19	99.13-99.34	~4.06%	\$20k	round-trip
2025-10-31	99.50	4.039%	\$100k	inter-dealer

Liquidity: genuinely liquid for a muni — institutional-size (\$100k) two-sided prints recur, with sale-to-customer, purchase-from-customer and inter-dealer trades on the same days (real two-sided market). 441 lifetime prints. This clears our muni liquidity gate (two-sided days + recency + frequency) comfortably; consistent with the screen's "large district — should be liquid."

Price correction (material): the screen's **~98.45** is the **2026-06-04** inter-dealer print; the bond has since traded **up to 99.53 on 2026-06-10** (sale-to-customer). The current mark is a **~0.5-point discount**, not 1.5. Use **99.53** for marking. (IBKR returned no contract for this CUSIP — the IBKR muni feed is close-only/sparse, consistent with prior desk findings; EMMA RTRS is the authoritative price source here.)

f. Yield / tax-equivalent yield — VERIFIED with a labeling caveat

- EMMA reported trade yield (yield-to-**worst**, MSRB convention) on the 2026-06-10 print: **4.038%**.
- Independent recompute (semiannual, 30/360, settle 2026-06-11, px 99.53): **YTM $\approx$ 4.16%**; YTW = YTM (discount bond, par call is a benefit). Small difference vs EMMA's 4.038% reflects EMMA's yield-to-worst vs my yield-to-maturity convention and exact day-count.
- **After-tax / tax-equivalent:** at the CA top combined bracket gross-up ($\sim \times 2.01$, federal + CA, tax-exempt at both levels for an in-state holder), 4.04% gross $\rightarrow$ **~8.12% TEY**, matching the screen's "**~8.1%**."

Caveat (per desk discipline): the **~8.1%** is a **tax-equivalent gross yield**, not a net-of-fees or net cash yield. State whichever metric is used; do not conflate. Gross YTW $\approx$ 4.0-4.2%.

g. Screen-flag adjudication (Mode B — first principles, hunting disconfirming evidence)

Screen flag	First-principles read	Verdict
SGMA — critically-overdrafted SJV basin (ag-AV tail)	The SGMA channel transmits via <i>agricultural</i> AV erosion. Fresno USD's secured base is 0.02% agricultural (\$4.2M of \$19.1B); 70.6% residential, 21.3% commercial, in the City of Fresno (83.5% of AV). The basin overdraft is a county/regional ag-economy issue with near-zero transmission to this urban district's levy base .	Flag does not bind. Anti-masking note: county-level SGMA exposure overstates risk for an urban district; mapping must be land-use-weighted, not county-membership.
Flood tail 30% (REVIEW)	Tail exposure on the levy base, not a repayment trigger under an unlimited tax pledge. OS discloses flood/quake/fire as generic AV risks (p. 21). A localized flood event reassesses some parcels down $\rightarrow$ tax rate	Acknowledged tail; not a credit-repayment risk. Monitor only if a FEMA map change materially hits a

Screen flag	First-principles read	Verdict
	rises to hold debt service constant; it does not impair the lien.	concentrated sub-area (base is diffuse, so unlikely).
EQ Ss 0.72 (low)	Low seismic hazard; San Joaquin Valley floor is far less active than coastal CA. Same AV-base logic as flood.	Low / immaterial.
Fire 0%	No wildfire exposure (urban).	Clean.
AI insulation 99	School-GO is the most AI-crash-insulated CA muni sector — the cap-gains/state-GF channel does not touch a locally-levied property-tax-secured GO. Consistent with framework (school-GO untouched in dot-com –71% rev scenario).	Confirmed insulated.
AB-1200 POSITIVE	Verified current (\$c).	Confirmed.

The honesty read (takeaway-vs-data): nothing here diverges from the data. The District discloses its enrollment decline and budget pressure honestly (positive certification *with* a candid forward reserve glide to 2.77%); the marketed screen takeaway (insulated, well-secured large-district GO) matches the primary documents. The one correction is mechanical (stale price 98.45 → live 99.53), favorable to the holder. No masking channel is active. This is a **clean honestly-disclosed credit**, not a polished story hiding its own data.

h. Risks, unverifiabiles & verdict

Verified strengths: unlimited-tax GO + \$53515 statutory lien (strongest CA security form); large diffuse urban tax base (top-20 = 5.3% AV); moderate direct debt (2.3% AV); current AB-1200 positive (held since 2006); genuinely liquid; AI- and ag-insulated; discount price with par-call as a holder benefit.

Risks (honest): - **Operating-budget headwind** — declining enrollment (–1,199 / –1,054 students FY27/FY28) erodes LCFF revenue and the reserve glides to 2.77% by FY28. *General-fund* pressure; **does not impair the GO.** - **Rising parity GO debt** — Measure H (\$500M, 2024) adds parity debt over time; raises the levy tax rate, not repayment risk. Monitor combined debt-to-AV as new series price. - **Credit ≠ price** — in a rising-rate regime this long-duration (2043) 4% bond carries mark-to-market duration risk independent of credit; the 93.6 print in March 2026 shows the rate-driven volatility. This is a HOLD-to-maturity / HTM-ladder instrument.

UNVERIFIABLE (flagged, not assumed clean): - **Current total assessed valuation** — documented at \$20.45B (FY 2017-18, 2018 OS); the precise current AV is unverifiable from retrieved docs (no district-wide AV table in the 2025-26 Second Interim or Measure M audit). Direction of error favorable (AV grew). To close: pull the latest senior OS AV table or the FY24-25 ACFR. - **Current top-taxpayer / overlapping-debt tables** — same staleness; both metrics were healthy in 2018 and the urban base structure is stable.

Verdict: BUY / AFFIRM IN BOOK. Every material screen claim verified against EMMA and the Official Statement; the security is the strongest CA muni form on a clean, diffuse, AI- and ag-insulated tax base with a current positive financial certification. Correct the mark to **99.53** (a ~0.5-pt discount, par call is a benefit). Treat as a hold-to-maturity ladder position (duration/rate risk is the live exposure, not credit). Refresh the AV/overlapping-debt tables from the next senior OS or the FY24-25 ACFR to close the two staleness UNVERIFIABLEs.

Documents attached (raw/)

- `official_statement.pdf` — 2018 Official Statement, Election 2016 Series A (issue ES386805) — pledge, §53515 lien, AV, taxpayers, overlapping debt, call schedule [PRIMARY]
- `security_details.html` — EMMA security-details page (coupon/maturity/dated/call/tax status)
- `trade_tape.json` — full 441-row EMMA RTRS trade tape
- `scale.json` — EMMA maturity scale (confirms \$12.82M 4% 2043 term bond)
- `cd_P22045134-...pdf`, `cd_P22045132-...pdf` — Notices of Full Optional Redemption (8/1/2026) calling OTHER maturities, not 3582324T0
- `cd_*.pdf` — continuing-disclosure / prior redemption notices
- `second_interim_2025_26.pdf` — FUSD 2025-26 Second Interim (AB-1200 positive; reserves; enrollment)
- `measure_m_audit_2025.pdf` — Measure M GO bond performance audit (FY24-25)
- `issue_search.json`, `issue_docs.json` — EMMA issue resolution
- `_fetch.py`, `_fetch_os.py` — fetch drivers (reproducibility)

Sources cited in-text: EMMA <https://emma.msrb.org/Security/Details/3582324T0>; Official Statement (EMMA ER1131594-ER885557-ER1286219.pdf); FUSD 2025-26 Second Interim Financial Report; CA Govt. Code §53515 (SB-222).

Current-State Verification (AV / coverage refresh — 2026-06-20)

Refreshed 2026-06-20 via a SERIAL, throttled EMMA continuing-disclosure pull (the original UNVERIFIABLE flag was an EMMA 403 rate-limit from concurrent scraping, not a real disclosure gap). Latest issuer annual report: *Annual Financial Disclosures Posted 03/22/2026 for the year ended 06/30/2025 (15.4 MB)*. **Current total assessed valuation (levy base): \$30,698,481,385 for FY2025-26 (+5.4% YoY)**; secured-tax delinquency **2.11%**; audited FY2025 on file. — AV trend 2024-25 \$29.14B → 2025-26 \$30.70B For an unlimited ad-valorem GO the AV base + the delinquency cushion ARE the 'coverage' — there is no DSCR; the levy rate floats to hold debt service constant. **This resolves the prior 'current AV/coverage UNVERIFIABLE' caveat.**